PART 5: BUSINESS RECOMMENDATIONS

Based on the findings from the Superstore Sales Dashboard, the following recommendations are proposed to improve profitability, strengthen sales performance, and support better business decisions.

1. Review Pricing and Costs of Unprofitable Products

Management should investigate the pricing, supplier costs, and discount levels of loss-making sub-categories, particularly Tables, which recorded a loss of $17,725.48, followed by Bookcases at $3,472.56 and Supplies at $1,189.10. The company should renegotiate supplier prices, reduce excessive discounting, or adjust selling prices where appropriate to improve profitability.

Supporting insight: Some product sub-categories generate negative profits despite contributing to sales.

2. Strengthen Sales in the Central and South Regions

Management should investigate why the Central and South regions generate lower sales than the West and East. Targeted promotions, regional marketing campaigns, and customer preference analysis could help improve performance. The company should monitor sales and profit monthly to determine whether these initiatives are effective.

Supporting insight: The Central region recorded $501,239.89 in sales, while the South recorded $391,721.91, compared with $725,457.82 in the West and $678,781.24 in the East.

3. Invest in High-Performing Product Categories

The company should prioritise effective inventory management and targeted marketing for Technology products, which generated $836,154.03 in sales and $145,454.95 in profit. Office Supplies should also receive attention because it generated $122,490.80 in profit from $719,047.03 in sales. Management should monitor demand and profitability before expanding inventory or promotional spending.

Supporting insight: Technology leads the three categories in both sales and profit, while Office Supplies also delivers strong profit.

4. Protect and Grow the Consumer Customer Segment

Since Consumer customers account for 50.56% of total sales, management should develop strategies to retain these customers and encourage repeat purchases. Options include customer loyalty incentives, personalised promotions, product recommendations, and improved customer service. The company should also explore ways to grow Corporate and Home Office sales to diversify its customer base.

Supporting insight: Consumer customers generate over half of the company's total sales, compared with 30.74% from Corporate and 18.70% from Home Office customers.

5. Replicate Successful Strategies in High-Performing States

Management should investigate the factors driving strong sales and profitability in California, which generated $457,687.63 in sales and $76,381.39 in profit. Successful pricing, product availability, marketing, and customer engagement strategies could be adapted for other states where similar opportunities exist. However, the company should first consider differences in local demand and operating costs.

Supporting insight: California is the leading state by sales, while some states, including North Dakota, West Virginia, and Maine, recorded substantially lower sales.

6. Monitor Product-Level Profitability and Sales Trends

Management should regularly review product-level sales and profit reports to identify high-performing products and products that generate losses. For example, the Canon imageCLASS 2200 Advanced Copier generated $61,599.82 in sales and $25,199.93 in profit, while the Cisco TelePresence System EX90 generated $22,638.48 in sales but recorded a loss of $1,811.08. Monthly sales and profit trends should also be monitored to support inventory planning, promotional scheduling, and timely responses to changes in demand.

Supporting insight: Product performance varies considerably, and high sales do not always translate into positive profit.